

THE O'LEARY INVESTMENT PHILOSOPHY

1. **Never let a stock, bond, commodity or *any* investment become more than 5 percent of your portfolio.** It's simple advice but very effective.
2. **Never purchase a stock or bond that does not pay a dividend or interest.** In the last 40 years, over 70 percent of stock market returns have come from dividends, not capital appreciation. Shareholders of RIM, the maker of BlackBerry smart phones, watched their stock rocket to the stratosphere, only to have it crash down when the company flew too close to the sun. RIM never returned a dime to shareholders from the day it went public because it never paid a dividend. Ironically, if RIM shareholders had abided by my rule, they would still have most of their capital gains because they would have kept selling the stock as it went over 5 percent of their portfolio. A good financial advisor would have forced that discipline on them.
3. **Keep a balanced portfolio.** For years, I have kept my investments approximately 50 percent in stocks and 50 percent in bonds. When markets get volatile, the bonds provide the stability and income I want to ride out the storm. I sleep better at night with this 50/50 model. The problem is which stocks and bonds to buy and when to sell them. This is where a good investment advisor really earns his or her fees. For example, when interest rates are going down, it's good to own 10-year government bonds, but when rates are going up, you can get killed in long-duration bonds. In periods when rates are rising, it's generally good to own only short-duration bonds that mature in the near future or floating-rate ones that pay more interest as rates go up. Again, a good investment advisor will know this and will modify your portfolio accordingly.

I have never been a good stock or bond picker; that's why I co-founded O'Leary Funds. Today, I use my own mutual funds to provide the diversity I need. I let the professional portfolio